artificial technologies

The Business Plan

Introduction

Business Description

Artificial Technologies (Artificial Tech) is a startup company that originally offered a product called Open Circuits. Open Circuits is a freemium selection of servers for running cloud-based software. This had mild success with customers such as Fictitious Inventions and Imaginary Ideas, both of whom offer server load management software. But, having seen the success of these companies, they are now looking into offering a server resource manager for overworked servers.

The Products

Artificial Technologies currently offers one product: Open Circuits. This is a freemium based subscription product; users can use their servers for free, up to a certain point. Depending on the subscription, this "certain point" can be the amount of resources used in a given time, the number of requests going to the server within a given time, or the amount of data access and memory that is used. For smaller companies or hobby users, this is great; but, Artificial Technologies is not getting the traction that it needs.

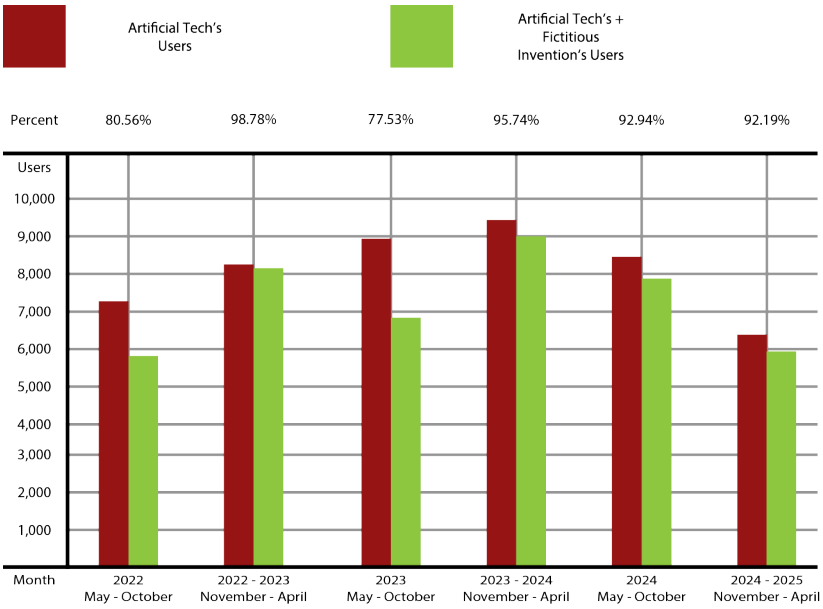
Wide Computing was proposed to Artificial Tech as a secondary product to attract more customers. Wide Computing would manage server loads, very similar to Fictitious Inventions' Server Help. This could attract new clients, broaden the range of customers, and boost income.

Market

Competition

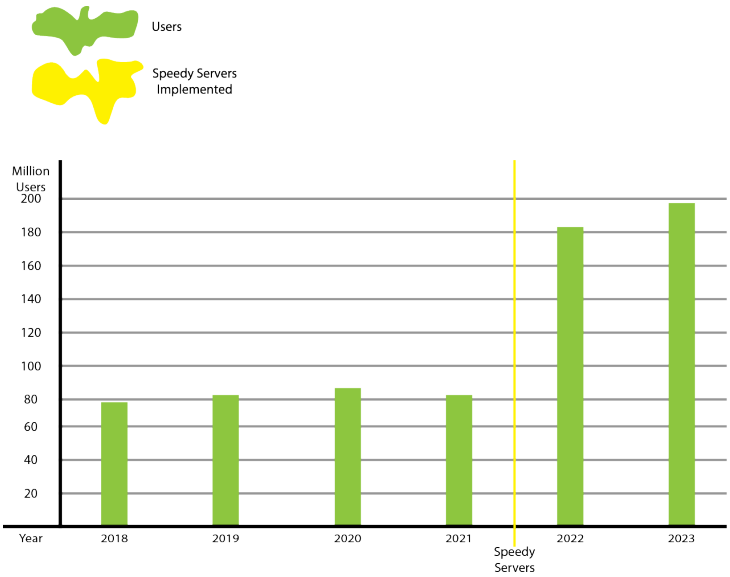
There are a couple of other companies that have similar products to Wide Computing. Server Help (created by Fictitious Inventions) is already well known and has a large customer base. However, they do not offer freemium server usage. As outlined in the

table below, the percent of customers that use both Open Circuits and Server Help is astronomical.



On average, 90% of Artificial Technologies' customers use Server Help. These users seem to have a need for optimizing the load on their servers. Providing both of these services can give a huge advantage over competitors.

There are very few companies that offer both servers and server load management. Fictitious Inventions built an extension to their product (called Speedy Servers) that allowed for this to be done on some level, but this was removed after a couple of years due to security issues. Nonetheless, below is a graph showing the spike in customers when Speedy Servers was released.



Based on this data and other surveys, there is a huge market for this. Some surveys suggest that other companies are attempting to release similar software within the next year.

Business to Business (B2B)

Many current business customers are either satisfied with their current setup, or have their own server load management systems. For these companies, Wide Computing would be better than competing products if it could interact seamlessly with Open Circuits. Other companies that offer server load management tools, would become direct competitors. Fictitious Inventions (a currently major customer), for example, would become a competitor.

Business to Customer (B2C)

For customers on the freemium subscription, nothing would change. Wide Computing would be aimed at companies using “Bigger than Free”.

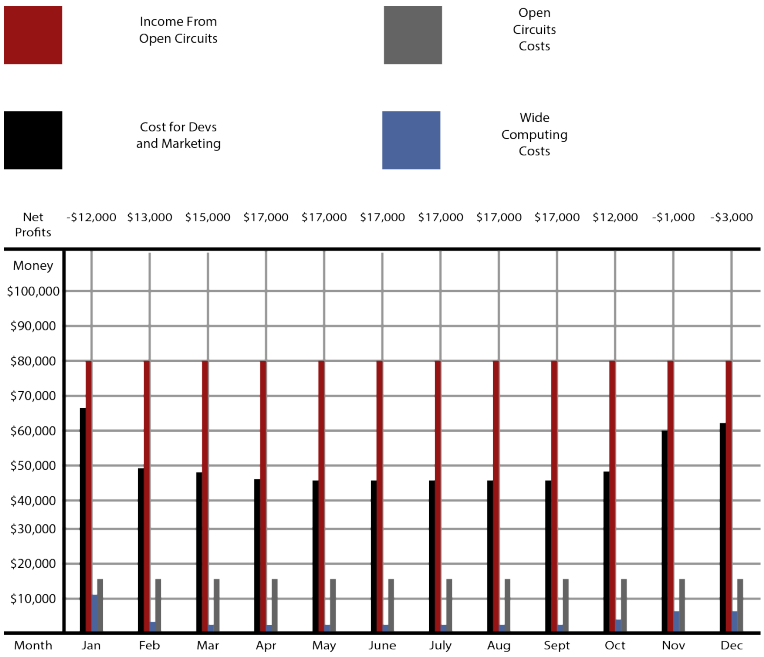
Market Saturation

Currently there are no major companies that offer both servers and server management. There are multiple companies that are starting to realize this, but they are not fully developed yet. Most businesses also implement their own server load management systems.

Money

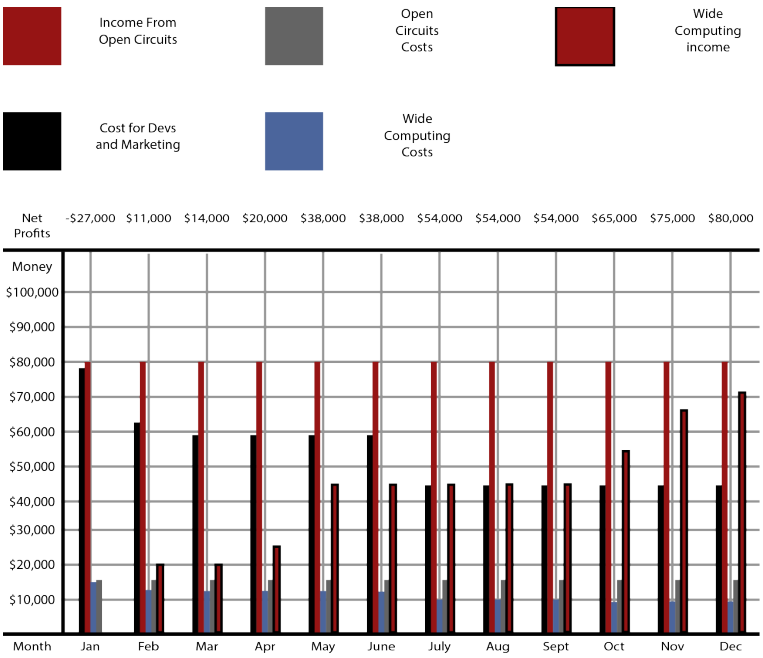
Overview

Based on when Fictitious Inventions created Speedy Servers, the current team of developers should be able to create a usable product within the next 12 months. The below graph is based on some very rough estimates, but assuming Open Circuits’ profits remain about the same, Open Circuits should be able to pay for the development of Wide Computing.



Currently Open Circuits brings in a little under $1 million gross profits annually, or about $80 thousand a month. Annual net profits are about $780 thousand. The total development cost for Wide Computing would be approximately $611 thousand plus any maintenance and equipment costs. This leaves $169 thousand dollars worth of margin using this waterfall method.

This leaves a long wait time; and, since other companies are already headed in that direction, it could result in a total loss. The following chart outlines the same resources and costs but using an agile method. This allows the product to be useful almost immediately, then using that income to help fund the next few months while the product is completed.



These numbers are about 60% more risky, since the profits from Wide Computing are extremely unpredictable. This chart is based on multiple surveys, but is still an extrapolation.

Equipment

From the overall point of view, the equipment for this product would be minimal. A few servers to run the program, along with an Adobe license for the marketing team, should be enough to create this service. Maintenance equipment would be ~80% more expensive than development equipment due to the fact that the company has to build, buy, and maintain multiple servers.

Pricing

The charts above are based on what customers said they would be willing to pay. The average Open Server customer is reportedly willing to pay approximately $500 a month.

Conclusion

Time To Profitability

Based on the data taken from our customers, Wide Computing would be able to pay for itself within 2 years using the agile method, or 3 years using the waterfall method. The agile method is much more risky than the traditional waterfall method, but it may mean the difference between a profit and a loss.

Action

Artificial Technologies will start on Wide Computing immediately using the agile method. They plan to have a usable product within the first month. Then, clear communication with the customers will allow them to find out what does work and what does not. Artificial Tech will have a complete product within the first year. Following which will only be regular updates.

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